

PROJECT SUMMARY

Project Title

Customer Retention & Promotional Optimization Strategy

Project Objective

The objective of this project was to analyze customer purchasing behavior, promotional dependency, loyalty patterns, and retention indicators to identify high-value customer segments and recommend data-driven retention strategies for sustainable business growth.

Project Workflow

Part 1 — Data Cleaning & Feature Engineering

Data Cleaning Activities

- Handled missing values in review ratings
- Removed duplicate records
- Standardized text formatting
- Converted categorical Yes/No values into binary values
- Cleaned column names for SQL compatibility

Feature Engineering Activities

Created advanced business metrics including:

- Loyalty Score
- Customer Value Score
- Promo Dependency Score
- Retention Potential Score
- Churn Risk Score
- Customer Health Score
- Purchase Frequency Score

- Customer Segments

Outcome

Generated a cleaned and analytics-ready dataset for advanced business analysis.

Part 2 — SQL Analysis

SQL was used to perform business intelligence analysis and extract strategic customer insights.

Key SQL Analysis Areas

- Customer segmentation distribution
- Loyalty tier analysis
- Revenue contribution by customer type
- Promotional dependency trends
- Retention potential analysis
- Subscription customer behavior
- Churn-risk customer identification

Outcome

Identified high-value customers, promo-driven segments, and retention opportunities using structured SQL queries.

Part 3 — Dashboard Development

An interactive dashboard was created to visualize customer behavior and business performance metrics.

Dashboard KPIs

- Retention Rate
- Customer Lifetime Value
- Loyalty Distribution
- Promo Dependency Analysis

- Segment-Wise Revenue Contribution
- Satisfaction Trends

Dashboard Benefits

- Improved business visibility
- Faster strategic decision-making
- Real-time performance tracking
- Better customer understanding

Part 4 — Strategic Playbook

Included Strategic Areas

- Customer Segmentation Framework
- Promotional Sunset Strategy
- Ideal Customer Profile (ICP)
- Retention Growth Strategy
- Strategic Recommendations
- KPI Framework
- Implementation Roadmap

Business Focus

Transition from:

Promotion-Led Growth to Loyalty-Led Retention

Key Business Insights

Insight 1

High-loyalty customers show significantly lower promotional dependency.

Business Impact

Opportunity to reduce blanket discounts and improve margins.

Insight 2

Subscription customers demonstrate stronger retention behavior.

Business Impact

Subscription programs can become long-term retention drivers.

Insight 3

Promo-driven customers generate short-term sales but reduce profitability.

Business Impact

Broad discount dependency creates margin pressure.

Insight 4

Customer satisfaction strongly correlates with retention potential.

Business Impact

Improving customer experience directly supports long-term loyalty.

Strategic Recommendations

Short-Term Recommendations

- Reduce blanket discount campaigns
- Improve customer segmentation visibility
- Track retention KPIs continuously

Medium-Term Recommendations

- Launch tier-based loyalty programs
- Increase customer personalization
- Improve recommendation systems

Long-Term Recommendations

- Build retention-led growth strategy
- Reduce dependency on acquisition discounts
- Introduce predictive churn analytics
- Implement AI-driven personalization

Business Value Delivered

Operational Value

- Improved customer visibility
- Better retention tracking
- Data-driven decision support

Financial Value

- Potential reduction in promotional costs

- Improved long-term profitability
- Higher customer lifetime value

Strategic Value

- Sustainable customer retention strategy
- Loyalty-focused business growth
- Improved customer relationship management

Final Conclusion

The analysis demonstrates that sustainable business growth can be achieved by shifting from discount-driven acquisition toward loyalty-driven customer retention.

By identifying high-value customers, reducing promotional dependency, and improving customer engagement strategies, the business can strengthen long-term profitability, customer loyalty, and retention performance.

“The future growth opportunity lies not in increasing discounts, but in increasing customer loyalty, engagement, and long-term customer value.”